lend and not park. It also reduced CRR by 1 per cent. This package was expected to make Indian banks, especially PSBs, lend to businesses. Unfortunately, this didn't happen.

Many businesses categorized as non-essential suffered a body blow. Some of these loans, for instance, loans to tourism, hotels, restaurants and recreation service businesses, were expected to become non-performing as their business could be lost or severely affected. Many others, like textiles and organized retail, were likely to become non-performing if they did not receive some grant support from the government and additional working capital support from banks.

In addition to RBI allowing banks to grant a moratorium on loans and classification of NPAs, the finance minister announced raising of the threshold of default under the IBC to Rs 1 crore from Rs 1 lakh to exclude most MSMEs from its ambit and save companies from insolvency on account of the pandemic. SEBI also asked rating agencies to hold off for a time.

While these measures provided much needed breathing space to fundamentally strong businesses, bankers feared that these measures only provided a facade of solvency to businesses that were fatally wounded in the turmoil. Banks granted moratorium to all credits irrespective of the nature of impact on their businesses and credit quality. Moratorium was also allowed to mortally wounded businesses. In their case, the moratorium and suspension of insolvency were only a temporary reprieve.

Credit expansion during much of financial year 2020–21 remained below 6 per cent, even lower than the very low growth recorded in financial year 2019–20 despite the crying need of businesses to get credit support to carry on with their pandemic-impacted businesses. RBI provided enormous liquidity support. The government pitched in with a liberal guarantee scheme. Yet, bankers did not lend.

They preferred to push the can down the road.